

Mumbai and the Ahmedabad stock exchange came up in 1894 [making it the second oldest stock exchange of India],” says V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services. “So, these two cities had an exposure to equity culture even in the 19th century. They held on to this lead. Other regions also are catching up, but it is a fact that the pace is slow.”

Indeed other regions are gaining ground, but data clearly shows that states with the maximum number of investors are still leading the race in terms of new additions as well. This assumes significance as the growth is coming on a high base. In the past one year, the states that saw the highest quantum of new investor additions on BSE were Maharashtra (6.2 million), Uttar Pradesh (5.6 million), Gujarat (3.1 million), Rajasthan (2.6 million), and West Bengal (2.4 million)—all the states already feature in the list of states with the highest number of registered investors.

In percentage terms, the highest jump has come from states and union territories like Ladakh, Mizoram, Dadra & Nagar Haveli, Lakshadweep, Arunachal Pradesh, Tripura, Jammu & Kashmir, Nagaland, Bihar, and Chhattisgarh. However, that’s primarily because of the low base. While one may look at these data sets merely as a reflection of the geographical spread of investors, there is a larger issue that needs to be addressed urgently.

“The disparities in the growth

THE BIGGEST AND THE SMALLEST

● Only four states have more than 10 million unique client codes (UCCs)

● Northeastern states and island territories still have very few investors

State	No. of UCCs	State/Region	No. of UCCs
Maharashtra	31,846,592	Dadra & Nagar Haveli	66,755
Uttar Pradesh	18,016,808	Nagaland	60,749
Gujarat	15,942,804	Arunachal Pradesh	58,157
Rajasthan	10,073,124	Sikkim	45,357
West Bengal	9,321,983	Daman & Diu	37,707
Karnataka	9,048,797	Andaman & Nicobar	32,690
Madhya Pradesh	8,775,444	Mizoram	25,113
Tamil Nadu	8,177,486	Lakshadweep	2,395
Delhi	7,662,973	Ladakh	1,506
Bihar	6,591,827	Army Post Office	238

DATA AS OF APRIL 10 SOURCE BSE

in demat accounts and the stagnant geographical spread of investors underscores a crucial challenge in achieving financial inclusivity,” says Khoday.

Incidentally, data from the two depositories—the National Securities Depository Limited (NSDL) and the Central Depository Services Limited (CDSL)—show that the total number of demat accounts in the country crossed the 150 million-mark in March.

“This situation points to signifi-

cant barriers in accessibility and awareness, despite technological advancements... Overcoming these barriers is essential for tapping into the untapped potential of under-represented regions, moving towards truly democratising investment in India,” Khoday adds.

Interestingly, there is also a view that even though the geographical spread might appear skewed, one cannot ignore the fact that indirect investment through mutual funds is coming from all corners of the country. Hence, the real growth of investors cannot be said to be limited to only a few locations.

Data from the Association of Mutual Funds in India (Amfi) shows that there are currently 84 million systematic investment plan (SIP) accounts that are used by retail investors to invest in the stock market. And the last 12-18 months have seen record inflows through

MARKET PLAYERS BELIEVE THAT INTERMEDIARIES NEED TO ADOPT A MORE LOCALISED APPROACH TO ENHANCE THE LEVEL OF PARTICIPATION